TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

ABC News
2 Nov 2026

Albanese wants to rewrite part of the UK trade deal

> The Prime Minister will ask the UK to restore the regional work rule for British backpackers, which was waived under the Australia–UK free trade agreement.

WHAT HAPPENED

- **Current rule:** under the FTA, British working holiday makers can stay up to three years without doing regional work. Other nationalities must do regional work to extend.
- **Numbers:** British backpackers rose from about 47,000 in 2024 to nearly 80,000 last financial year.
- **Process:** the deal is already law, so changes need the UK's consent. The PM will raise it with UK PM Andy Burnham at CHOGM.
- **Labour market:** about one in seven harvest workers comes from overseas, and farmers warn of shortages.

BY THE NUMBERS

~80,000
UK backpackers, last financial year

~47,000
UK backpackers, 2024

1 in 7
Harvest workers from overseas

45,000
Proposed cap on 2nd-year visas

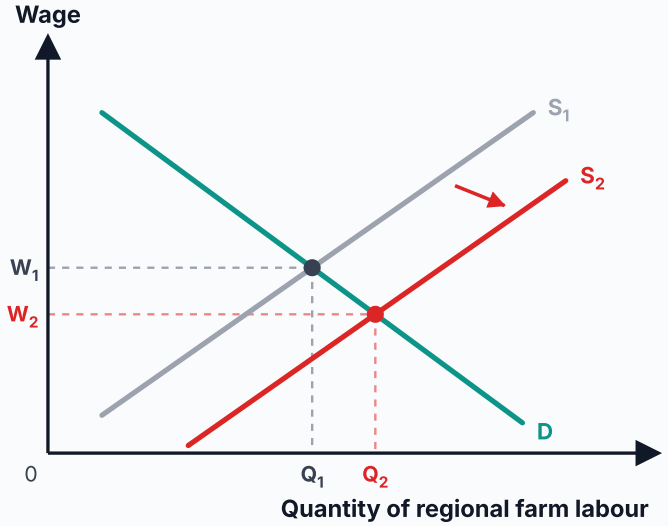
KEY TERMS

Free trade agreement: A treaty lowering trade barriers, often also covering services, investment and labour mobility.

Working holiday maker: A visa allowing young travellers to work, often in seasonal jobs.

Labour supply: The number of workers willing and able to work at each wage.

DIAGRAM — Restoring the regional work rule



If British backpackers again must do regional work to extend their visas, the **supply of regional farm labour** shifts from **S_1 to S_2**. Employment rises from Q_1 to Q_2 and wage pressure eases from W_1 to W_2, which helps fill harvest shortages.

Diagram is illustrative, not to scale.

Exam angle: Modern FTAs go **beyond tariffs**: services, investment and the movement of people all create winners and losers.

FLOW CHART — The chain of cause and effect

FTA waives regional work → Fewer backpackers in the regions → Farm labour shortages → **Pressure to renegotiate**

SYLLABUS LINK

Topic 2 – trade agreements and Australia's trade policy. Topic 3 – the labour market.

TRY THIS

Assess the costs and benefits of including labour-mobility provisions in Australia's free trade agreements. **(6 marks)**

Sources: ABC News – Albanese to discuss British backpacker changes, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/albanese-to-discuss-british-backpacker-changes-with-burnham/107208084 · ABC News – Federal politics live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/federal-politics-live-blog-albanese-chogm-nov-2/107334912

Summarised and paraphrased from the sources listed